

Penny Wise, Pound Foolish

Prakash may have retained his trading profits, but most of the gains in his long-term portfolio slipped through his grasp as he could not bring himself to sell in time. There were some others who suffered sizeable losses despite having cashed a good chunk of their paper profits in time. Bina's distant cousin Pankaj belonged in this unlucky category. He managed his family business of trading in grains and oilseeds. He had grown the business with his hard work and acumen, and now made a net profit of around Rs 50 lakh annually. About a year ago, he developed an interest in stocks. As a professional trader, Pankaj felt he could replicate his success in grain trading with stocks too.

He began cautiously, and thanks to the bull market, made good money with his initial bets. From modest positions of a couple of hundred shares, he increased the size of his trades to a couple of thousand shares, that too in high-priced technology stocks. His wife and parents were worried, but Pankaj was certain he had mastered the game. To my irritation, he offered me a few tips on trading when I ran into him at a relative's wedding around Diwali.

'The man will be in trouble before long, and I am willing to write it on stamp paper,' I told Bina that evening.

When stock prices leapt to unimaginable highs in February and March, Pankaj's paper profits on his outstanding positions amounted to Rs 50 lakh. When he boasted about it to his parents at the dinner table, they told him to cash the profit. They did not understand stocks, but were wise enough to know that the paper wealth represented one year's income. Pankaj refused